

Kotak Mahindra Bank Ltd | Financials | FY 2024-03

KOTAKBANK | Nifty 100 Investment Tearsheet

56,237

Revenue (Rs Cr)

18,213

Net Profit (Rs Cr)

83.7

Operating Margin (%)

14.0

Return on Equity (%)

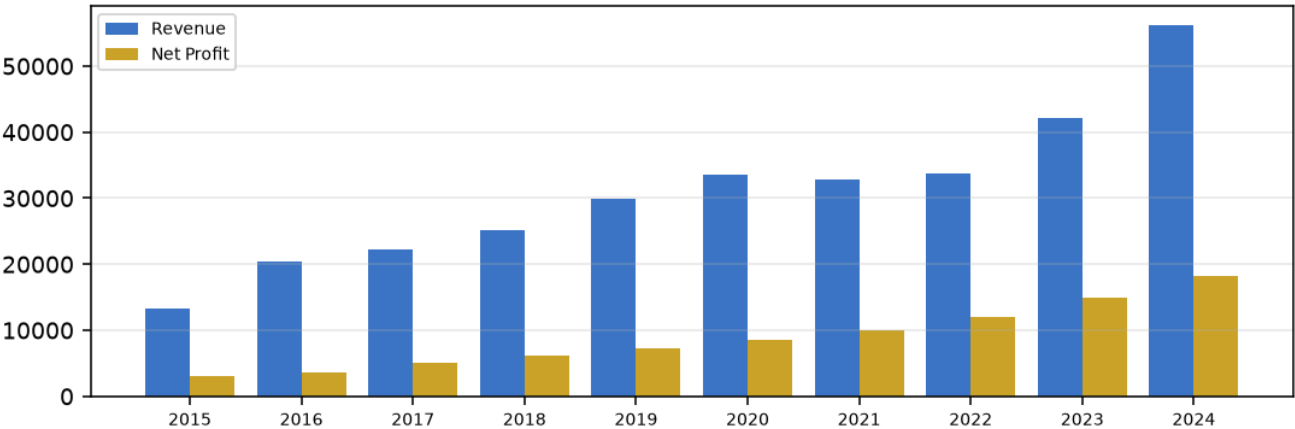
7.4

Return on Capital (%)

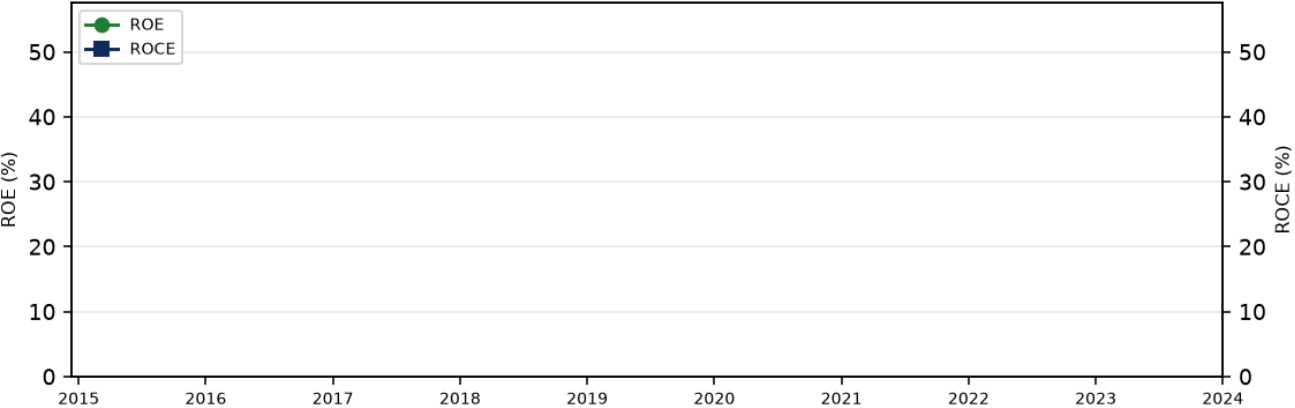
4.00

Debt / Equity

10-Year Revenue vs Net Profit (Rs Cr)

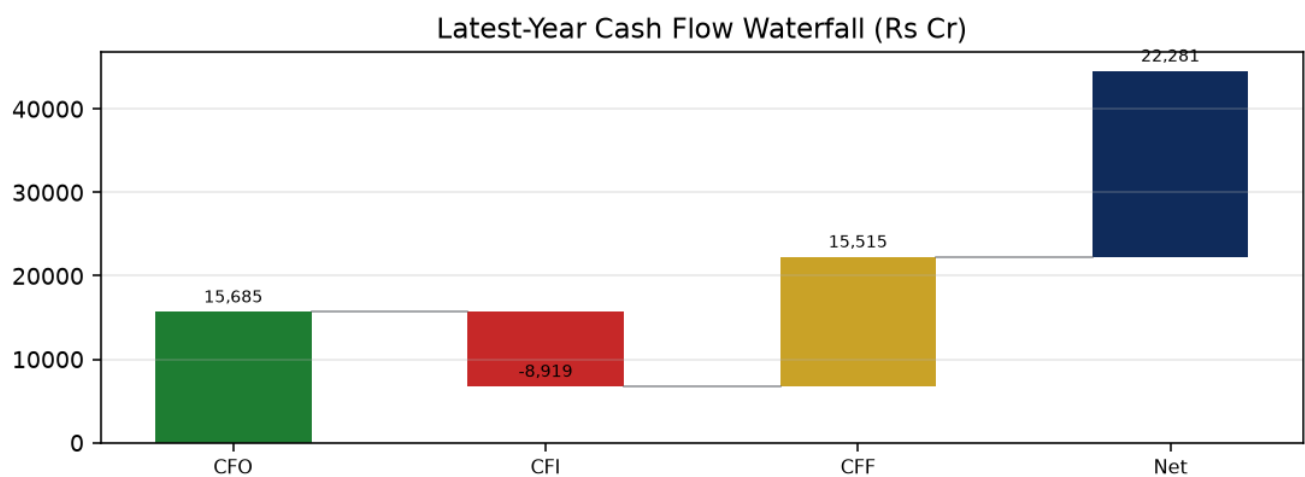
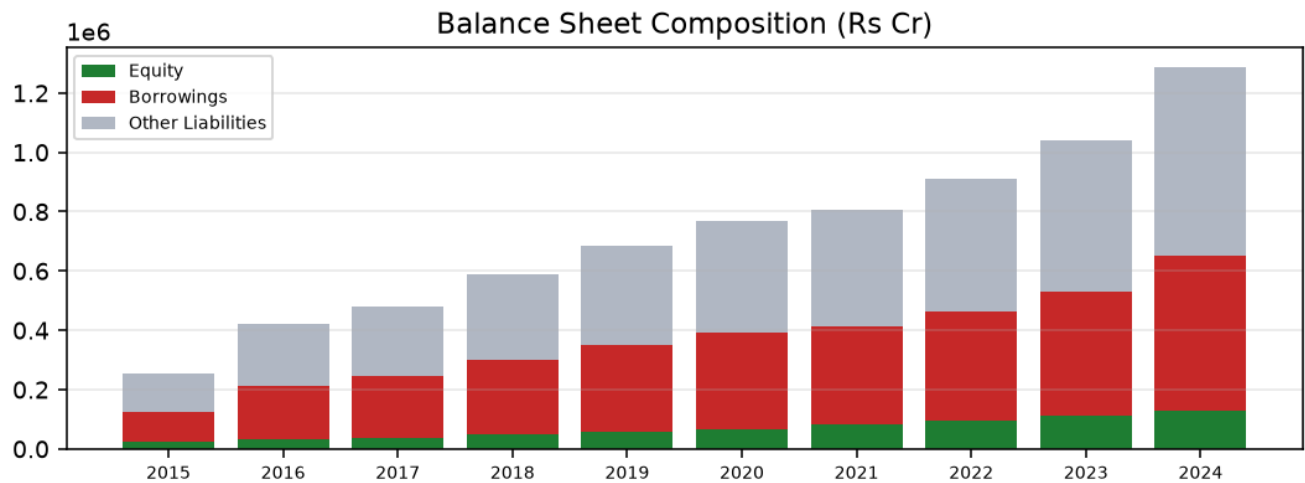


Return on Equity vs Return on Capital



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Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Return on equity improving for 3 consecutive years shows strengthening business quality

Cons

- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt of 273928 cr exceeding 3 times EBITDA (5.73x) limits financial flexibility

Capital Allocation: Mixed